Law Council
OF AUSTRALIA

Legal Practice Section

28 October 2025

Committee Secretary
Joint Standing Committee on Electoral Matters
PO Box 6021
Parliament House
Canberra ACT 2600

By email: em@aph.gov.au

Dear Committee Secretary,

Electoral Legislation Amendment (Electoral Reform) Act 2025

1. This submission has been prepared by the Charities and Not-for-profits Committee of the Law Council of Australia's Legal Practice Section (the **Committee**). The Committee thanks the Joint Standing Committee for inquiring into the impact of electoral laws and the recent amendments on charities, among other aspects. The Committee is pleased to take this opportunity to provide important feedback on the operation of the amendments to the *Commonwealth Electoral Act 1918 (Cth)* made by the *Electoral Legislation Amendment (Electoral Reform) Act 2025* (the **Amendment Act**) as they may apply to charities.

Application of general donations to electoral expenditure

2. The Committee has been provided with a copy of the submission dated 15 October 2025 made to the inquiry by the Stronger Charities Alliance and supports the recommendation that charities be permitted to use any donation income for the purposes of electoral expenditure.

3. There are two main intertwined reasons for this recommendation:

   - From a policy perspective, the unintended consequences of the amendments will be to restrict charities' involvement in influencing political parties in setting policies and from educating the public on important social policies of the different parties and candidates.

   - From a practical perspective, the amendments will be extremely difficult for charities to operate within, particularly those that may not be or may not intend to be third parties or significant third parties at the start of an election period.

4. Charities play an important role in advocating for policy changes in furtherance of their charitable purposes—not only during electoral periods but throughout the year—and donors in general support all aspects of a charity's work. Charities need to be responsive to law or policy changes as and when they occur, and serve a vital function in educating the public about the impact of policies. Charities use available funds

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from donations for these purposes and the Committee submits that charities need to have the freedom and flexibility to continue to do this not only before an election period but during an electoral period. If any issue arises unexpectedly in an election period, charities are unlikely to be able to quickly raise new donations specific to advocate on that issue.

5. The restrictions under the Amendment Act apply once a charity uses more than $20,000 on electoral expenditure. Legal practitioners are frequently asked to advise on what is electoral expenditure and from when is the amount calculated. There are practical implications for compliance with the law if a charity only exceeds the third-party threshold during the electoral period. Unless the new amendments are changed in connection with charities, there will also be the unintended impact of restricting all charities who are not already, or who are not intending at the outset of an election period to be, third parties or significant third parties, to limit their electoral expenditure to below $20,000, purely due to the difficulty in compliance and lack of clarity about how the laws apply in these circumstances.

Clarity of the application of the Amendment Act

6. The Amendment Act does not reflect an understanding or appreciation of how charities fund their activities and how they assist in policy making and education.

7. As legal practitioners we have experienced difficulty in explaining how these amendments will apply to charities in numerous situations. The Committee is concerned that the burden placed on charities, which are on the whole risk-averse and wishing to be compliant, will result in them not conducting advocacy or education activities for concern about complying with the practical application of the Amendment Act.

8. Further amendments may be required (in addition to allowing general donations to be used as electoral expenditure for all charities) to clarify the definitions and operation of the Amendment Act for charities that are third parties and significant third parties.

9. The Committee would welcome the opportunity to discuss this submission with the Department. In the first instance, please contact the Committee Chair, Alice Macdougall at [redacted]

Yours sincerely

[redacted]

Greg McIntyre SC
Section Chair